

invest in, an automatic system could do it better.

Bogle proposed that instead of trying to beat the market, why not try and *be* the market? His index fund, which was essentially a basket made of the top 500 companies in the US, now called the S&P 500, ended up becoming a huge success.

See, an index fund follows an index, which is just a list. You could follow the top 200 companies in Australia, with an index called the ASX 200, or the top 50 companies in New Zealand, called the NZX 50. You could follow the top 100 companies in the UK, called the FTSE 100, or the top 100 companies in India, the NIFTY 100 — the options of indexes are limitless. They also don't have to be a list of top companies; you can have funds that follow a list of only female-run companies, or a list of the top ethical companies in the US.

The three most common indexes are the S&P 500, the Dow Jones Industrial Average, which follows the top 30 companies in the US, and NASDAQ, which follows the top 1000 tech companies in the US. These funds are often quoted to represent when the market moves (e.g. 'the Dow is down 3 per cent'). See [figure 5.1](#).